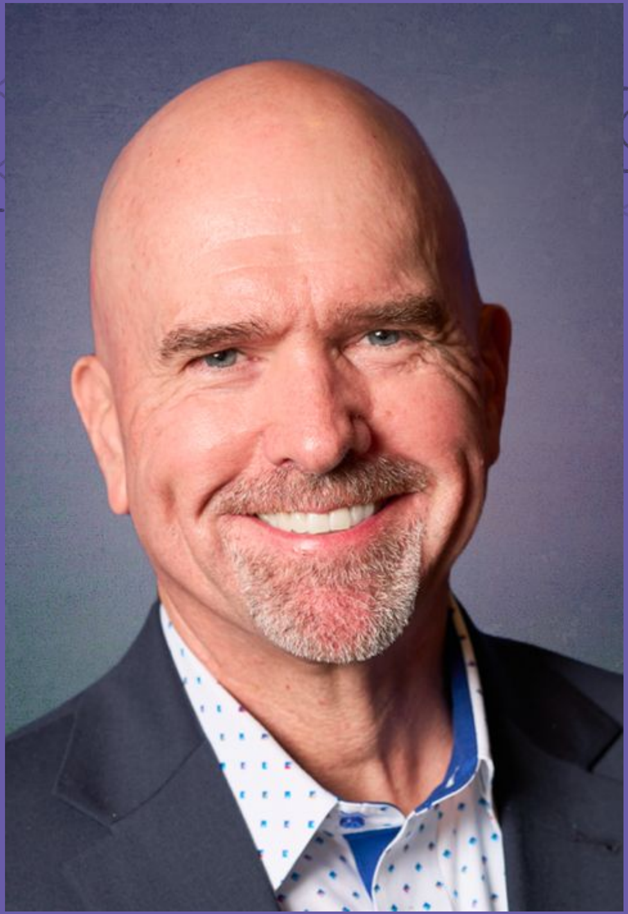
Crossing the AI Chasm

A Blueprint for the AI-Native Organization

SAFe & AI SUMMIT
AMSTERDAM, NETHERLANDS



Dr. Steve Mayner

VP, AI Methodologies
Scaled Agile, Inc.

92% of companies are increasing their AI investments

Only 1% have fully integrated AI into workflows, or are realizing substantial business outcomes with AI.

Why Most Organizations Fail

REALITY NOW

92% of companies are experimenting with AI

Only 25% are generating meaningful value from traditional AI

Less than 10% are meeting value expectations for GenAI

—RoAI Institute

THE AI CHASM

OPPORTUNITY

AI has the potential to deliver **$3.5 trillion** to **$5.8 trillion** in annual value across industries

The long-term opportunity in Generative AI is **$4.4 trillion** in added productivity growth potential from corporate use cases

—McKinsey & Company

Why are organizations struggling to achieve AI's potential?

AI Is Different

Exponential

Time to 100M Users

Mobile phone: 16 years
Internet: 7 years
ChatGPT: 2 months

Generative

Walmart AI chatbot conducted thousands of simultaneous, unique negotiations with small suppliers, closing 68% and saving 3% per contract.

EDGE

Disruptive

Pharma R&D: Time-to-Candidate reduced from 4 years to 18 months

Legal: Eliminating the “billable hour”

Insurance: 57% of claims automated by AI (3 weeks to just minutes)

Emergent

Google AI model trained in most common languages **suddenly “learned” to translate Bengali** with high proficiency.

Common AI Failure Patterns

- **The Value Gap:** failure to align AI investments with business objectives
- **The POC Graveyard:** AI pilot paralysis & abandonment before production
- **The Human Factor:** limited workforce AI fluency and fear of AI replacement
- **The Wait & See Strategy:** lack of trust, transparency, and governance
- **The Data Dilemma:** issues with data quality, readiness, & integration

The AI-Native Organization

AI Success Stories: IKEA

The Challenge: Rising support call volumes threatened to overwhelm the business. IKEA needed to automate without firing thousands of employees or losing their human touch.

The Solution:

- Deployed the "**Billie**" bot for rote tasks, but focused strategy on **upskilling** 8,500 call center agents into "Interior Design Advisors."
- Moved humans from a Cost Center (Support) to a Profit Center (Design Services).

The Results:

- **47% Automation:** AI handles nearly half of all customer queries.
- **No Layoffs:** 8,500 staff successfully retrained for higher-value roles.
- **$1.4B Revenue:** Reskilled human channel generated €1.3B in design sales (2022).

Success Factors: *Human-Centric AI Culture + AI-Native Workforce*

(Source: Reuters, World Economic Forum)

AI Success Stories: Mercedes-Benz

The Challenge: Legacy rule-based in-car voice assistants were rigid and frustrating, leading to low consumer adoption and increased driver distraction when users reverted to touchscreen menus.

The Solution:

- Integrated ChatGPT directly into the Mercedes-Benz User Experience (MBUX) infotainment hardware.
- Launched as an over-the-air (OTA) update to over 900,000 vehicles, instantly turning existing physical hardware into a GenAI platform.

The Results

- **Engagement Surge:** Drivers are twice as likely to interact with the vehicle using the GenAI functionality compared to the legacy system.
- **Safety & Experience:** Reduced driver distraction by enabling complex, multi-step queries without taking eyes off the road.
- **Scale:** Transitioned from a regional beta to a global standard across new vehicle lines.

Leader Focus: *AI Money Map + AI-Empowered Agility*

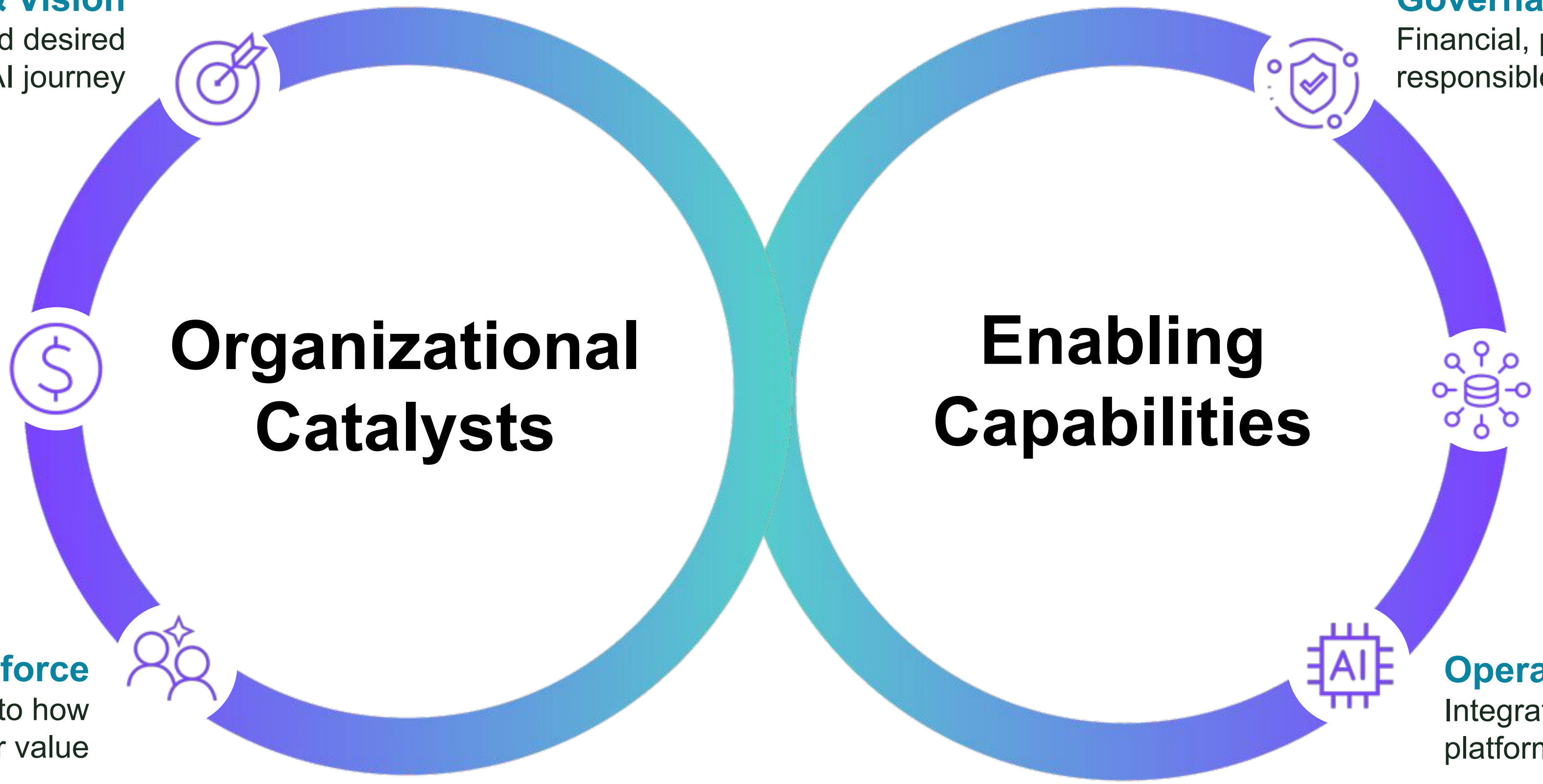
The AI-Native Organization

Human-Centric AI Culture

AI Strategic Intent & Vision
C-suite's motivation and desired impact as it relates to their AI journey

AI Money Map
Prioritized list of investments and measurable outcomes

AI-Native Workforce
All employees integrate AI into how they think, create, and deliver value



Governance & Ethics
Financial, performance, and responsible AI policies and practices

Curated Data
Complete, accurate, and maintained data sources

Operational AI Technology
Integrated AI infrastructure, platforms, security, and operations

AI-Empowered Agility

What is an AI-Native Organization?

An **AI-Native Organization** is built to reliably turn AI into measurable value by integrating **AI as a core operating capability**, aligning AI investments with strategy, and embedding the right guardrails, data/technology foundations, and workforce practices so AI moves from pilots to scaled impact.

AI only delivers results when strategy, governance, data, technology, and people are aligned—leaders must strengthen each area they own, or value stalls.

"In a world of limitless knowledge production, becoming AI-Native means shifting our organizations' focus and our professional passion from building outputs to delivering outcomes."

Dr. Mik Kersten
Author, Output to Outcomes

Organizational Catalysts

The AI-Native Organization

Organizational Catalysts ignite change, aligning AI initiatives with strategic business goals and driving transformation.

AI Strategic Intent & Vision
C-suite's motivation and desired impact as it relates to their AI journey

AI Money Map
Prioritized list of investments and measurable outcomes

AI-Native Workforce
All employees integrate AI into how they think, create, and deliver value

Questions Leaders Must Answer:

- *What business bets will we make on AI in the next 12–24 months?*
- *How can we harness AI to increase business value?*
- *How do we upskill our workforce for AI?*

Why AI and Where are We Going?

AI Strategic Intent & Vision defines the specific business outcomes we intend to achieve with AI, and the role AI will play in our competitive strategy. They clarify where we will lead, where we will defend, and where we will not invest.

Without a clear strategic intent, AI efforts fragment into disconnected experiments. Leaders must define the destination so the organization can align investment, talent, and risk toward a common ambition.

Establishing Your AI Strategic Intent

Strategic Intent is executive leadership’s clear answer to “What is our purpose for adopting AI?” It anchors every AI investment to a specific business outcome.

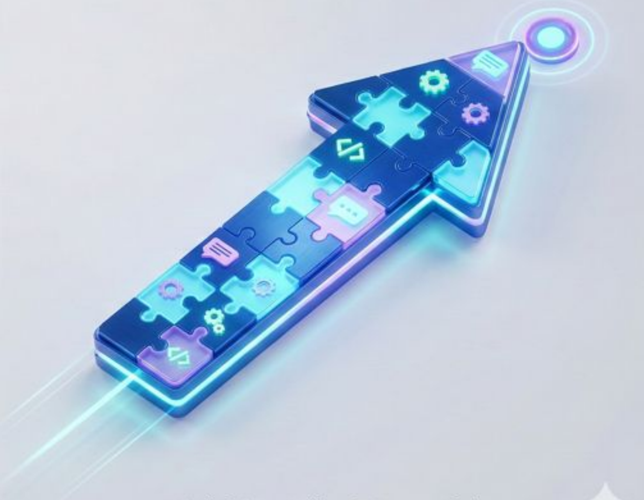
- **The Shift:** We are moving from funding technology ("Let's build a GenAI tool") to funding outcomes ("Let's reduce customer churn by 10% using predictive retention").

- **Why It Matters:** Without clear intent, teams optimize for technical novelty rather than business value. Intent gives teams the "permission" to stop low-value experiments.

RANDOM ACTS OF AI

Confusion, Isolated Experiments, Lack of Direction

STRATEGIC INTENT



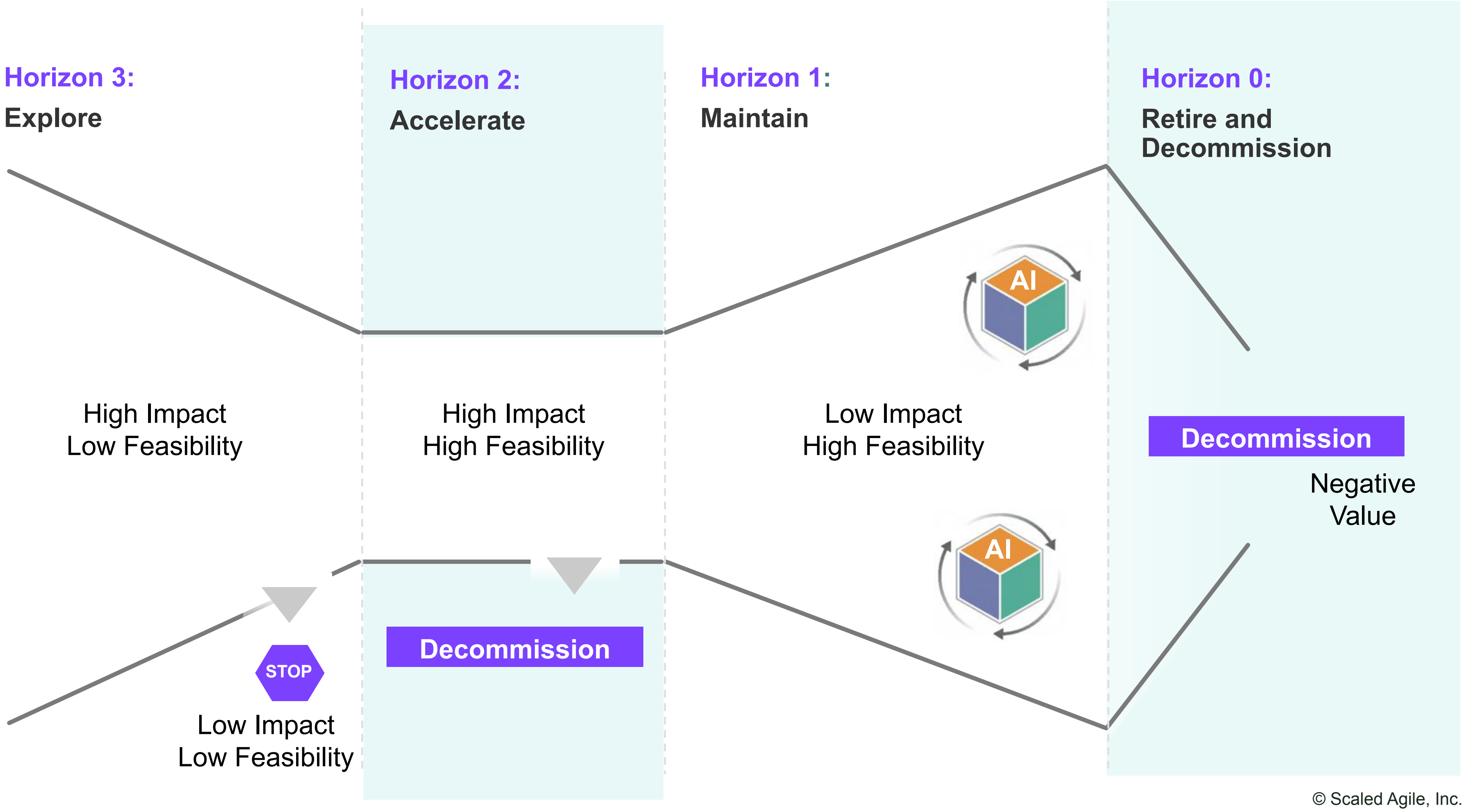
Solid, Streamlined, Purposeful

What is an AI Money Map?

The **AI Money Map** is a prioritized list of investments and measurable outcomes. It is a value-led view of the AI initiative roadmap that connects every dollar of investment to a specific return, helping leaders see past the hype and focus on measurable ROI.

The AI Money Map equips leaders to turn AI ambition into a manageable portfolio, aligning investment, ownership, and expected return before execution begins.

Visualizing Your AI Money Map Initiatives



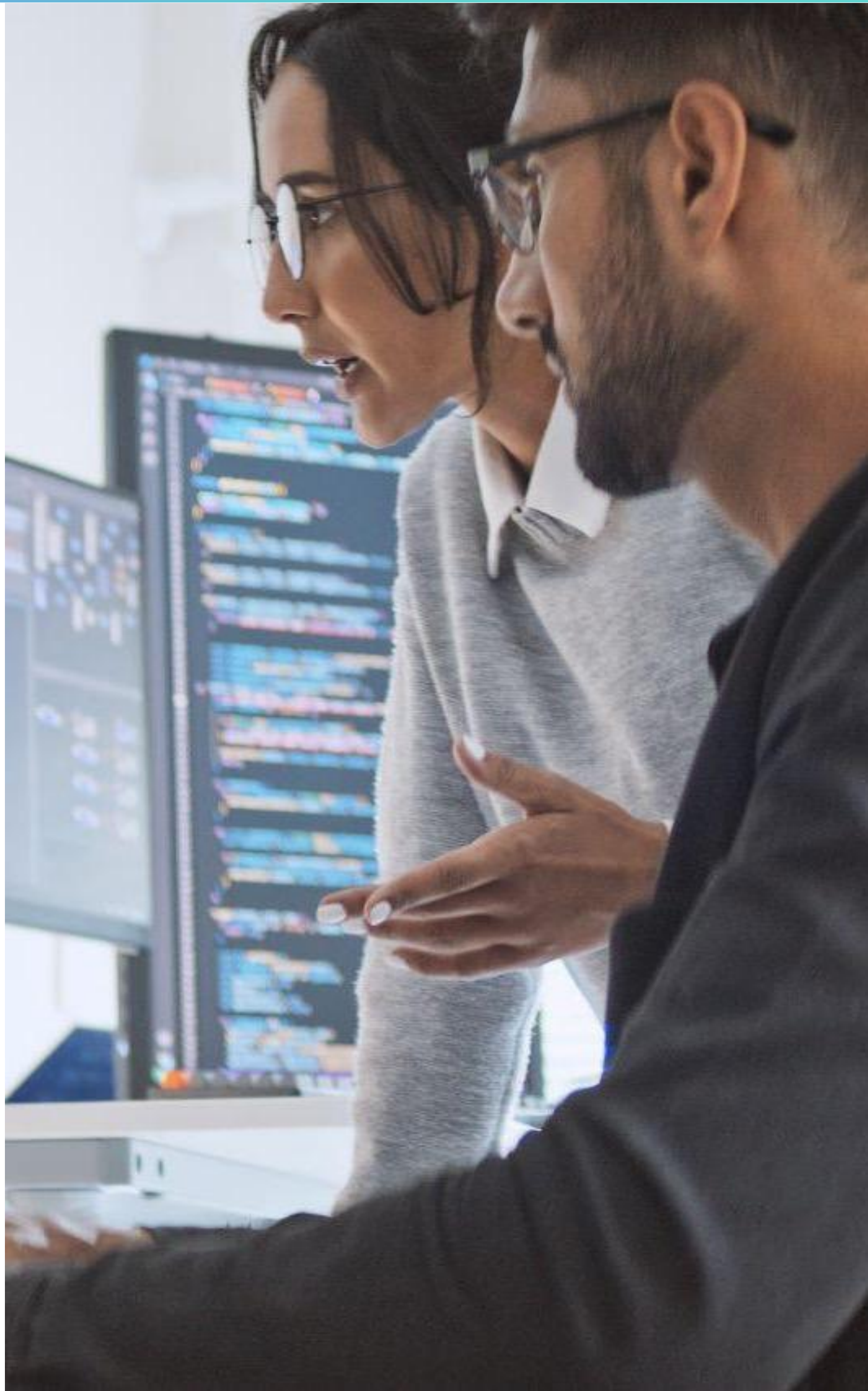
AI Value Depends on People

An **AI-Native Workforce** integrates AI into every aspect of how work gets done. It occurs when every individual, from executives to front-line contributors, understands when and how to use AI safely to improve decisions, productivity, quality, and innovation as a normal part of daily operations.

If your workforce does not change how it works, AI will not change your results. Leaders are accountable for equipping their teams with the tools, training, and time to reimagine their workflows to leverage the power of AI.

AI Upskilling is a Universal Business Imperative

- **33% of organizations** cited limited AI skills or expertise as their primary barrier to adopting AI solutions
- **Only half of organizations** say even 50% of their employees have well-developed AI skills
- **40% of the global workforce** will need to reskill in the next 3 years to adapt to AI-driven job changes
- **66% of leaders** said their employees lack the skills to use generative AI effectively.



Building the AI-Native Workforce

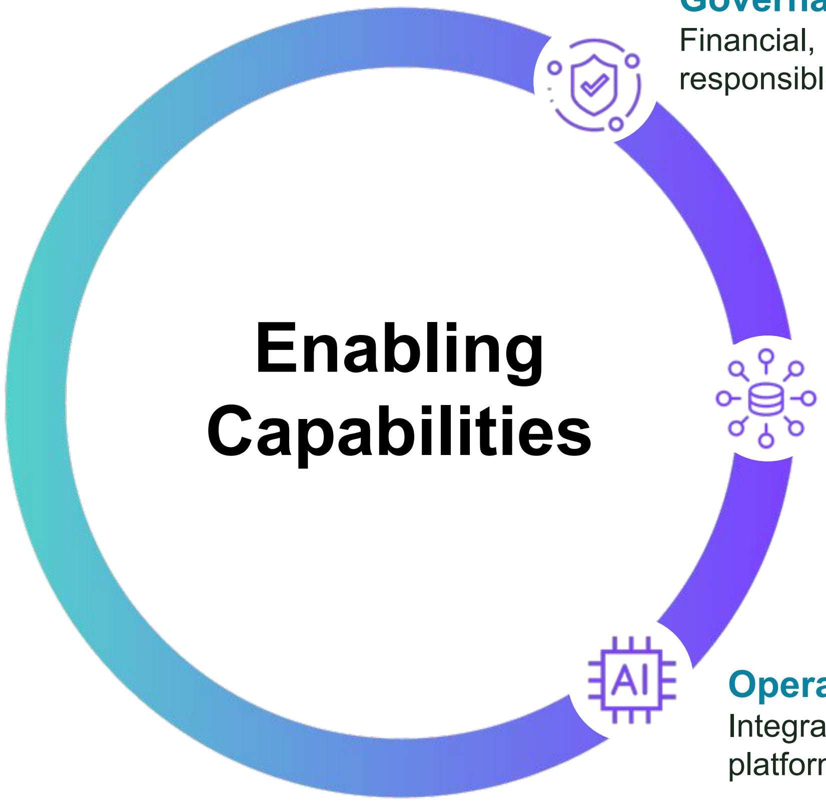
Enabling Capabilities

The AI-Native Organization

Enabling Capabilities power execution by establishing the necessary guardrails and infrastructure to implement AI solutions.

Questions Leaders Must Answer:

- *How can we utilize AI safely, ethically, and with less risk?*
- *What data and technology investments are needed for our AI strategy?*



Governance & Ethics
Financial, performance, and responsible AI policies and practices

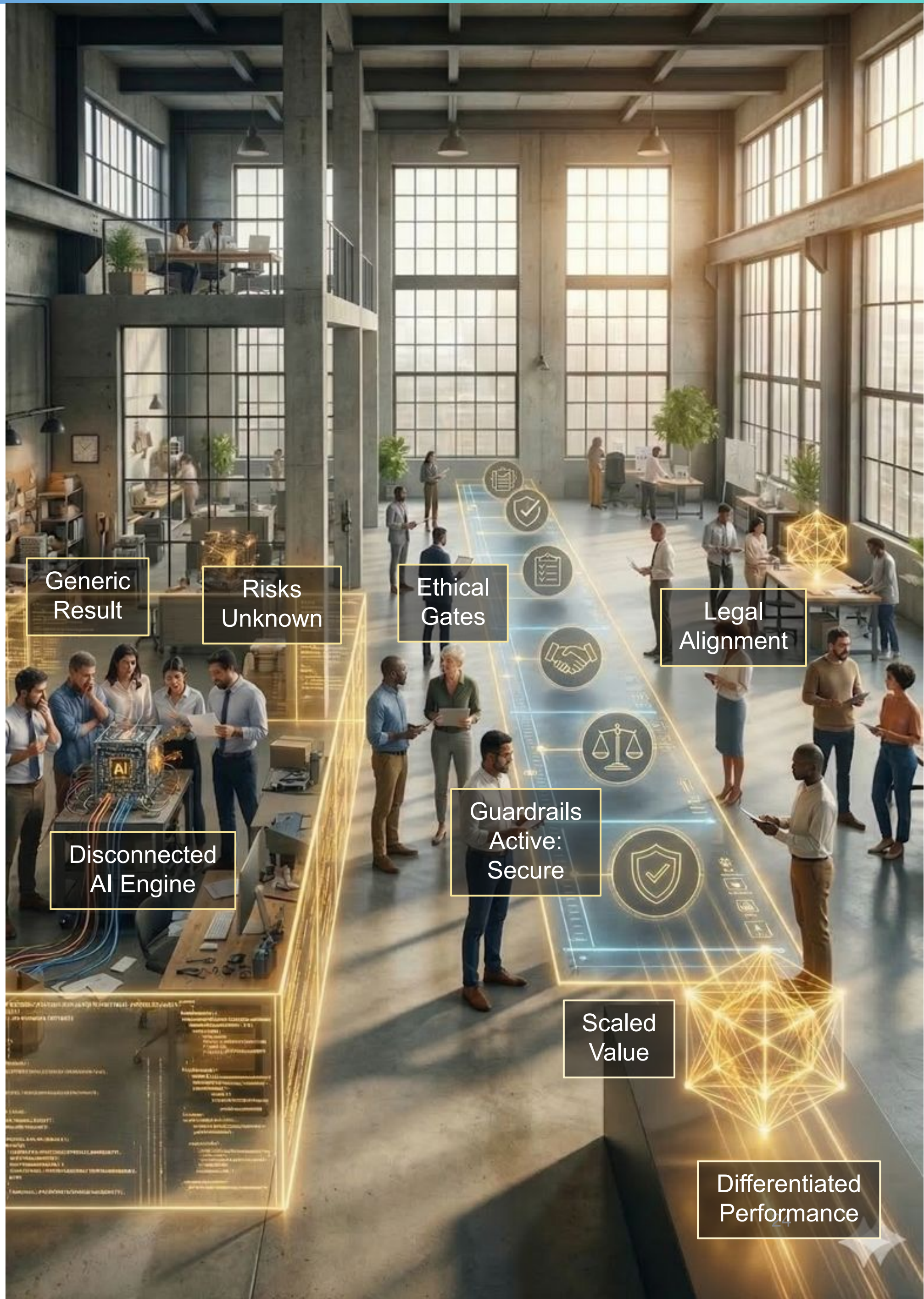
Curated Data
Complete, accurate, and maintained data sources

Operational AI Technology
Integrated AI infrastructure, platforms, security, and operations

Guardrails Enable Acceleration

Governance and Ethics define how the organization ensures AI is used responsibly and stays aligned with its legal obligations, risk tolerance, and values as it scales.

Generative AI introduces risks that traditional controls were not designed to manage. Leaders must set clear guardrails, model responsible use, and actively monitor outcomes in their area. Otherwise, the organization risks legal exposure, financial waste, and loss of trust.



AI Financial Governance

Traditional Software (SaaS)

- **Cost Model:** Fixed License / Per Seat
- **Scaling:** Predictable step-function. Costs only rise when you add users
- **Governance:** Annual budget
- **Risk:** Unused licenses (waste).

Generative AI

- **Cost Model:** Variable / Per Token
- **Scaling:** Volatile. An inefficient prompt used by 1,000 users scales costs instantly
- **Governance:** Metering - requires monitoring usage and model routing
- **Risk:** Runaway consumption (liability).

Governance Imperative: Procurement must shift from negotiating seat price to negotiating **rate limits** and **indemnification**.

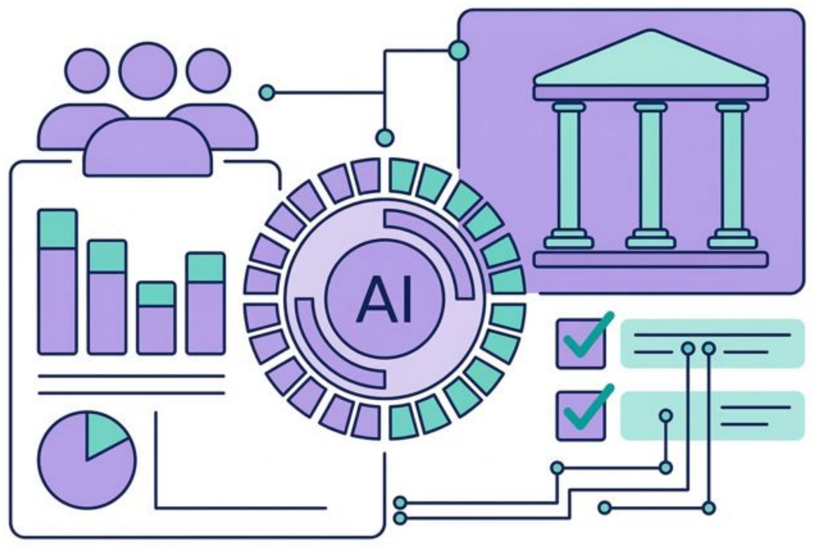
AI Performance Governance

New Performance Metrics

- **Grounding:** Did the AI correctly cite the provided source data? (Anti-Hallucination) .
- **Relevance:** Did the output actually answer the user’s specific prompt?
- **Drift Detection:** Is the model’s accuracy degrading over time as data changes?

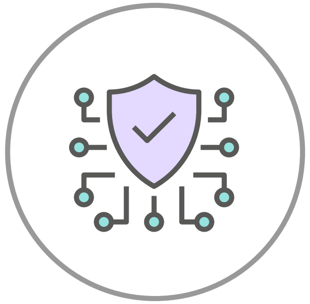
The Operational Shift

- **Old IT Metric:** "Is the system available?" (99.9% Uptime)
- **New AI Metric:** "Is the answer accurate?" (Grounding Score > 0.9)



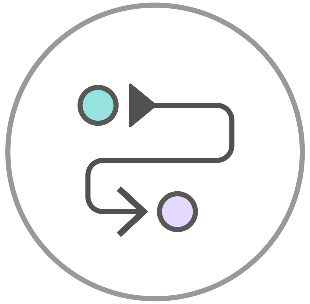
Managing AI Risk with a Responsible AI framework

- **Responsible AI** is the practice of creating and managing AI systems in an ethical, transparent, and compliant way, focusing on human values, fairness, safety, and accountability.



Trustworthy

- Privacy
- Security
- Resilience
- Reliability
- Accuracy



Explainable

- Transparency
- Interpretability
- Accountability

Human Centric

- Safety
- Fairness
- Ethics
- Inclusiveness
- Sustainability
- Compliance

Ecosystem of AI Risk Management Frameworks

Guidance & Research

RAI Institute
(RAISE)

Universities
(Harvard, MIT, Stanford)

Consulting/Tech
(McKinsey, BCG, Gartner, Google, OpenAI)

Standards Bodies

NIST
(AI RMF)

ISO
(42001)

IEEE
(7000 Series)

WEF
(AIGA)

Laws & Precedent

EU AI Act
(2024)

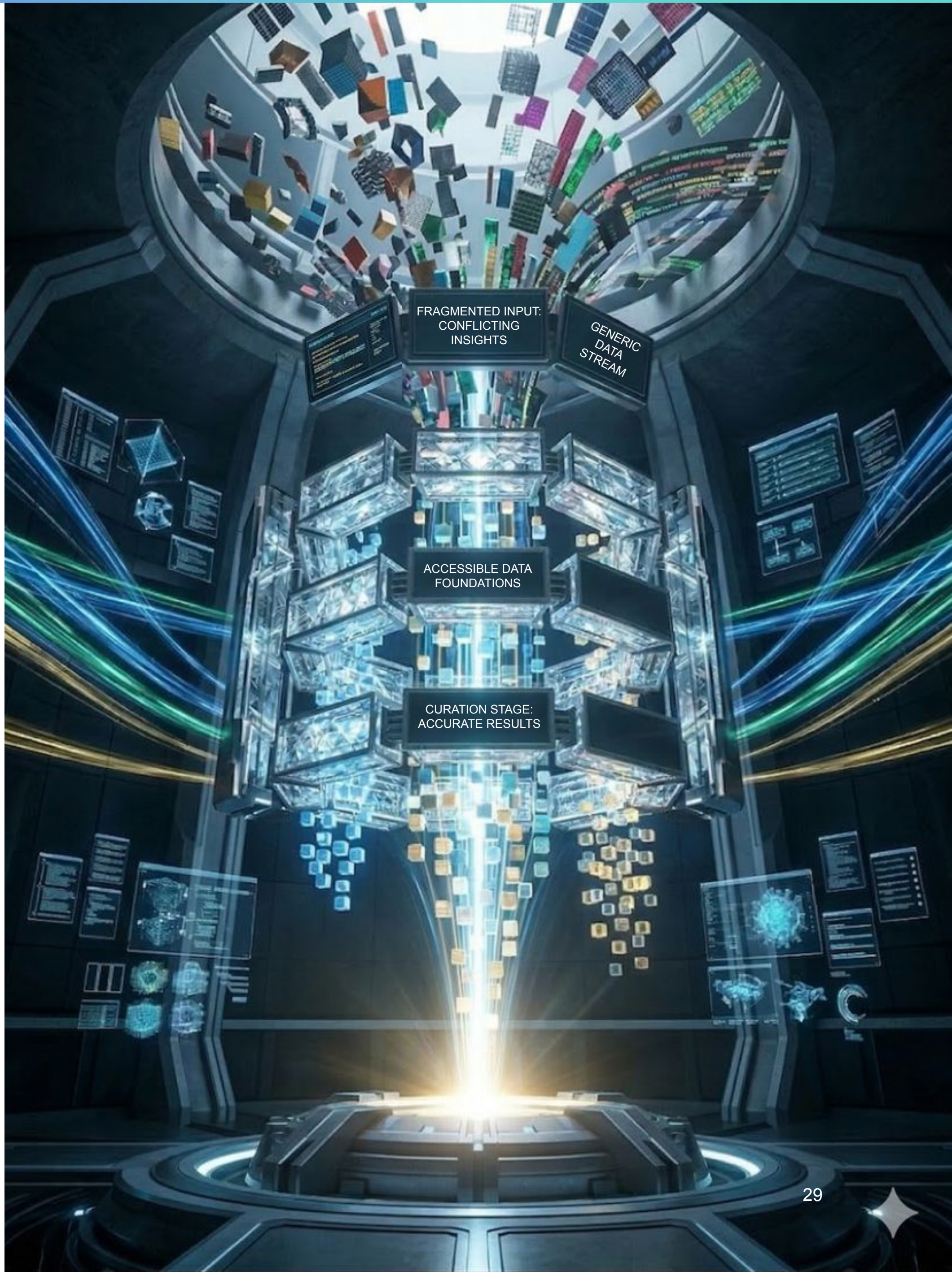
State Laws
(CA, CO USA)

Court Rulings
(ex. Air Canada)

Data Unlocks AI Value

Curated Data is enterprise data intentionally prepared for AI use, delivering reliable, organization-specific insights rather than fragmented or conflicting results.

AI models are widely available, but differentiated performance comes from your data; without investing in accessible, consistent, and well-governed data foundations, AI initiatives will produce generic results, conflicting insights, or fail to scale.



AI Is Only As Good as the Data It Uses

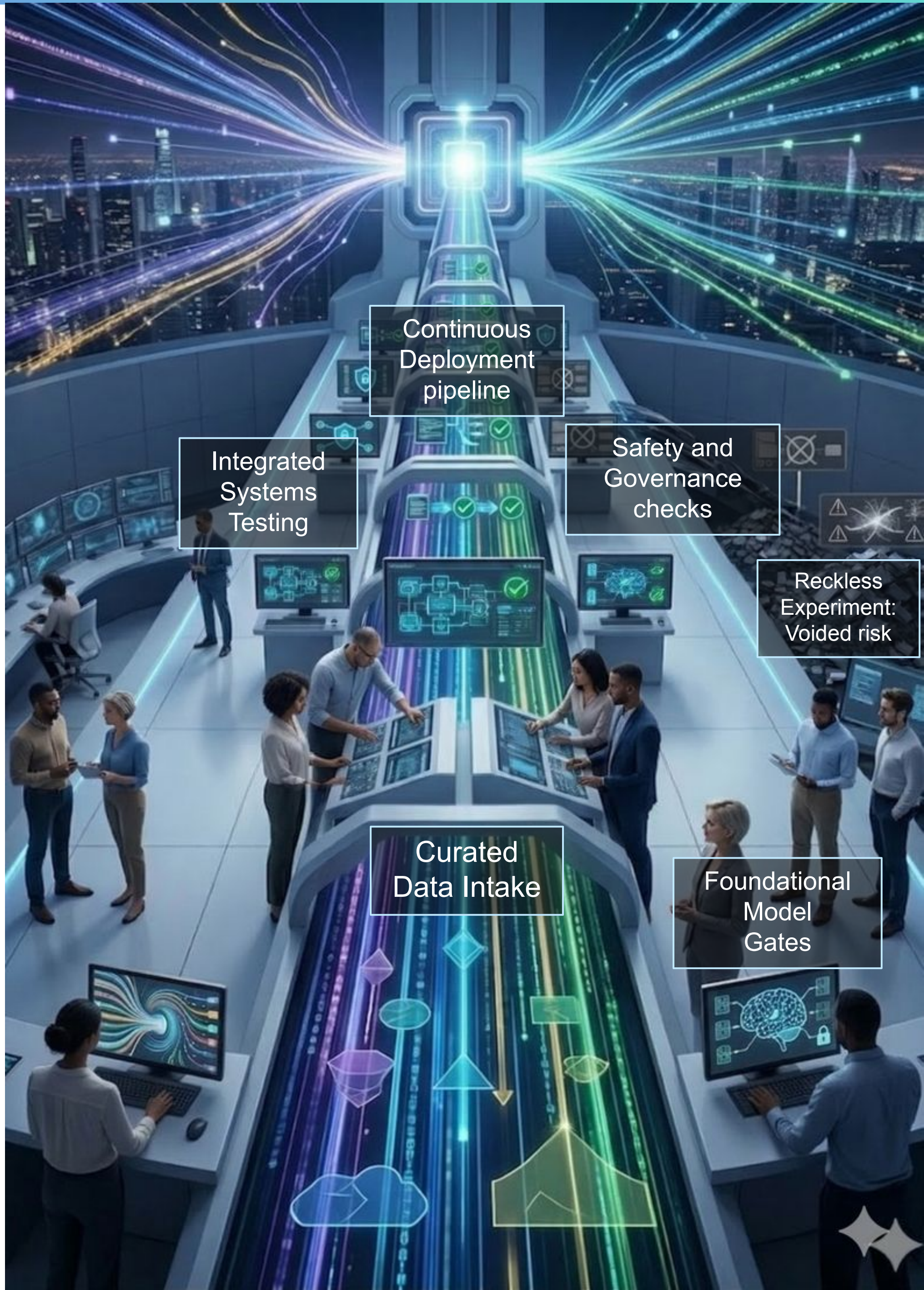
Curated Data: The Fuel for AI Systems

- **Complete**
  The AI can access all the knowledge needed to answer questions or perform tasks
- **Accurate**
  Information is verified and trustworthy
- **Maintained and Securely Accessed**
  Data must stay current, and the right people and systems must have the right access to it

Operationalizing AI at Scale

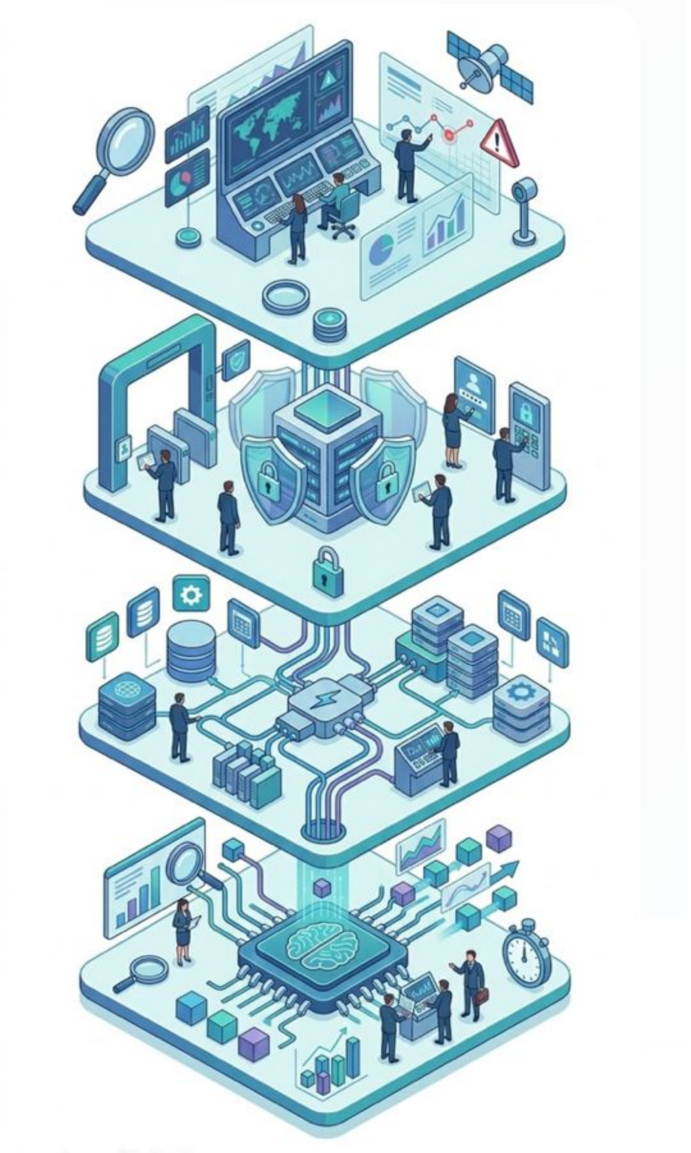
Operational AI Technology is the capability to deploy AI solutions into real production environments and run them reliably, securely, and at scale.

Selecting a model is relatively easy. Sustaining safe, reliable, and scalable AI in production requires systems thinking and operational discipline. Leaders must ensure that these foundations exist, or AI initiatives will stall, create avoidable risk, or fail to scale.



The Minimum Operational AI Stack

- Model access layer (platforms, APIs)
- Data & retrieval layer (curated truth + permissions)
- Workflow layer (apps, copilots, agents)
- Guardrails (policy, safety, governance)
- Observability (monitoring, audit, evaluation)
- Feedback loop and reinforcement learning
- Incident response (prompt injection, outage)



Culture and Agility

The AI-Native Organization

Human-Centric AI Culture

Questions Leaders Must Answer:

- *How do we build a Human-Centric AI Culture?*
- *How do we embrace the rapid experimentation and learning required for AI?*

AI-Empowered Agility

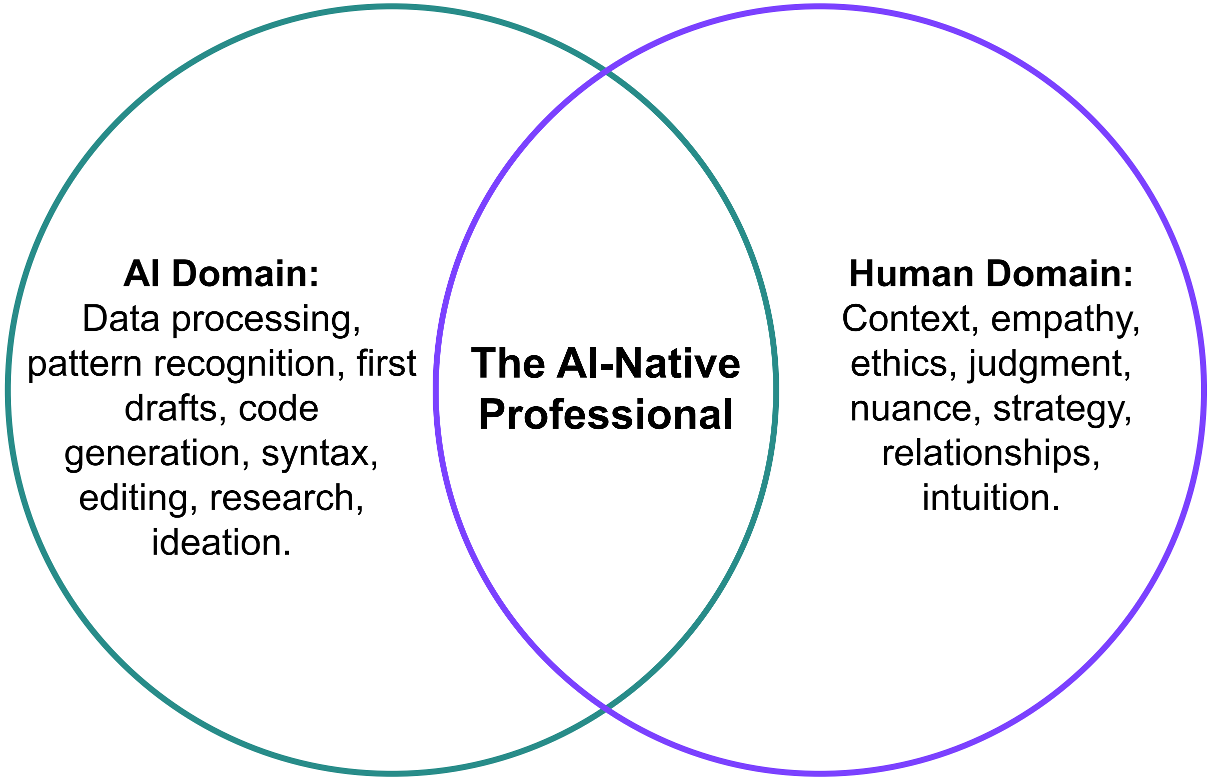
Shaping How AI Is Used

A **Human-Centric AI Culture** exists when AI is used to augment human judgment, creativity, and productivity, with clear expectations about responsible use, accountability, and performance standards.

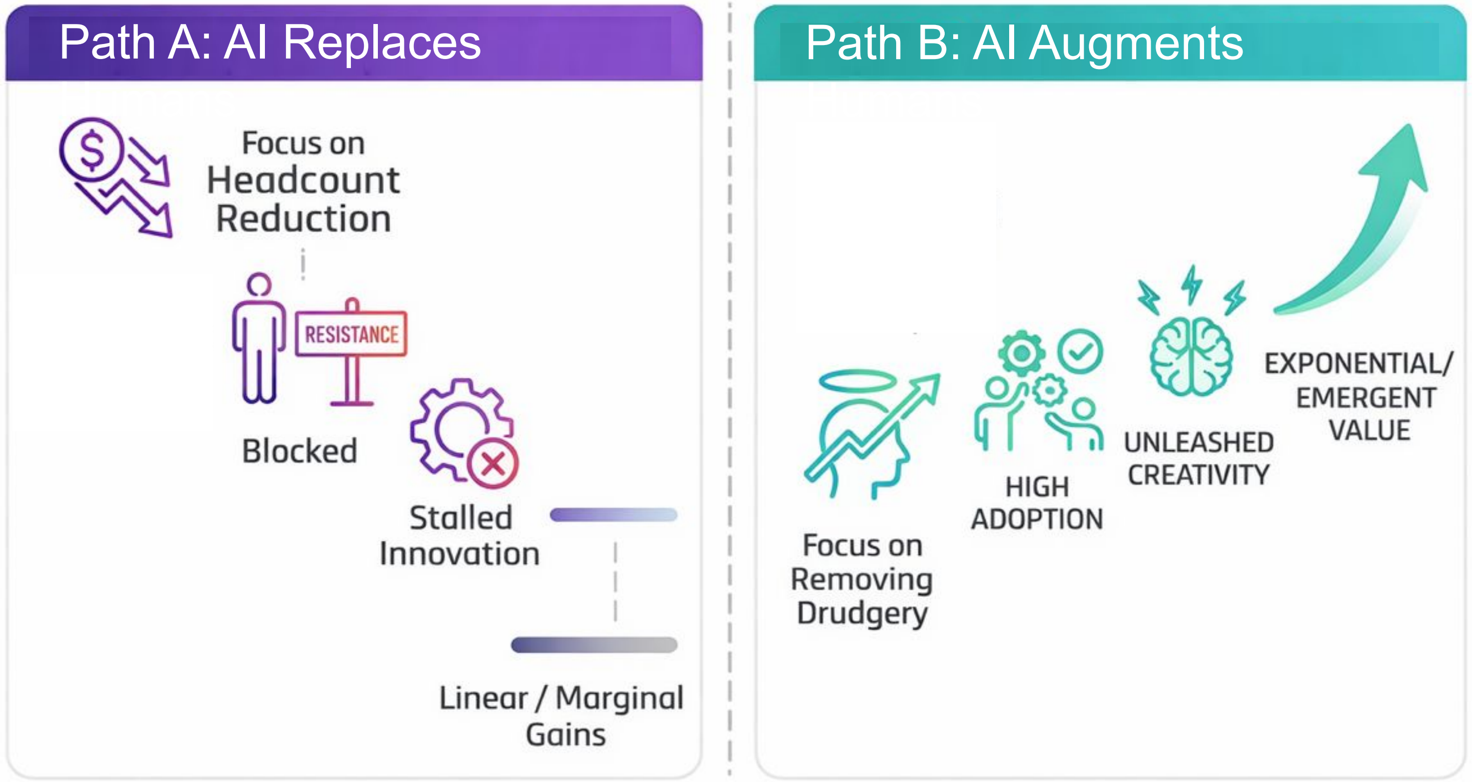
AI will reshape how work is done, whether leaders guide it or not. Without intentional cultural direction, organizations drift toward fear, resistance, or reckless experimentation instead of disciplined performance gains.

The Unique Value of Human Work

- As AI becomes commoditized, "Human Skills" become the premium asset.
- We need more judgment, not less. We need more empathy, not less.
- **Human-Centric AI Culture:** We celebrate the human ability to accelerate value creation by innovating with AI as a thought partner and intelligent assistant.



Avoiding the Replacement Trap



- **The Pattern:** Replacing humans with AI before AI's effectiveness for the targeted function is proven.
- **The Trap:** Gaps in AI's capabilities can lead to negative business impact. Where this has occurred, some or all of the humans had to be hired back. (Klarna example)
- **The Alternative:** Organizations use AI to offload cognitive load, allowing humans to solve previously unsolvable problems. (IKEA example)

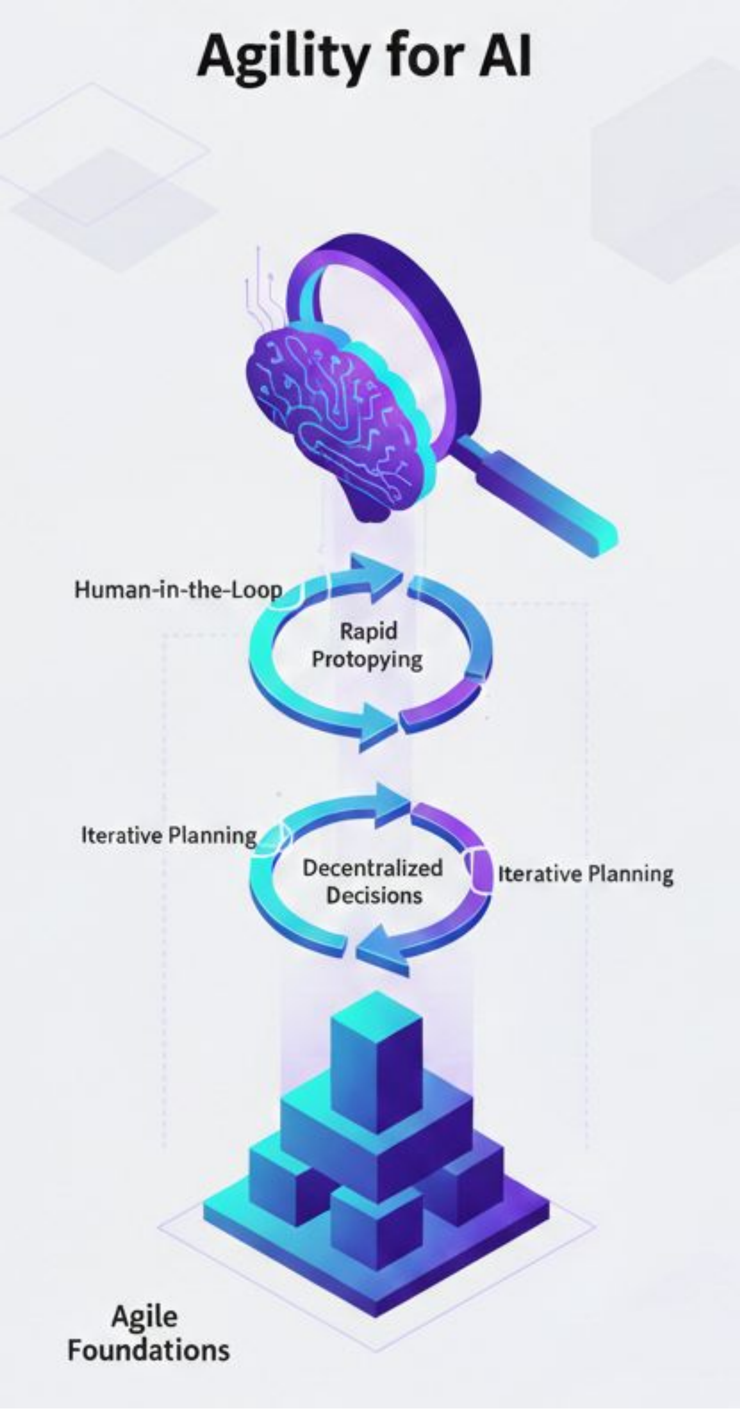
Agility at the Speed of AI

AI-Empowered Agility is the disciplined application of fast learning cycles, clear feedback loops, and accountable delivery practices to AI initiatives, ensuring that experimentation, risk management, and value realization happen continuously and at speed.

AI increases uncertainty and accelerates change, which means traditional planning cycles break down; leaders must reinforce shorter learning loops, tighter feedback, and clear accountability or AI initiatives will drift, overrun, or stall.

Practical Guidance - Agility for AI

- **Fund small-scale, rapid prototypes** to validate business hypotheses before committing to large-scale AI investments.
- **Replace rigid annual planning** with iterative strategy cycles that allow the organization to sense and adapt as AI models and costs evolve.
- **Empower cross-functional teams** to make decentralized decisions, enabling faster pivots in response to new AI capabilities or market shifts.
- **Apply Minimum Viable Product (MVP) thinking** to all AI initiatives to demonstrate real business value quickly and at the lowest possible cost.
- **Establish "human-in-the-loop" protocols** to manage errors and unpredictability of AI, ensuring safety and accountability for critical decisions.



Conclusion and Roadmap

Recommended Roadmap – the First 30 days

1. Conduct an AI-Native Organization Assessment

2. Focus on the Organizational Catalysts first
   - Crystallize your "AI Strategic Intent” and communicate it to the organization
   - Prioritize high value + high feasibility AI use cases
   - Accelerate workforce upskilling (AI-Native Foundations), training of Change Agents (AI-Native Change Agent), and building AI intuition in leaders (AI-Native Leader)

AI-Native Organization
Self-Assessment

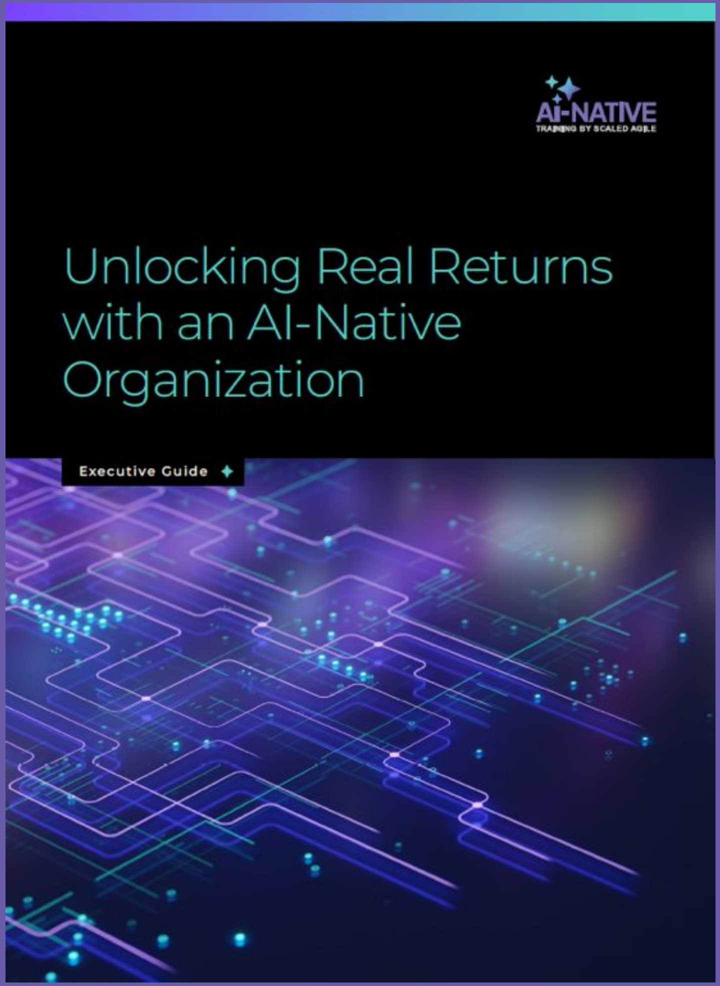
Roadmap for Day 31-90 and Beyond

1. Address Enabling Capabilities in the context of prioritized initiatives
   - Assign Change Agents to the top 1 to 3 initiatives – this is what they do
   - Support completion of the blueprinting process for these initiatives
2. Accelerate the AI development lifecycle with a goal to deploy and release the top AI initiative by day 90
3. Repeat the process for the next most valuable initiatives as organizational capacity allows
4. Senior leaders take ownership to address gaps in the organization’s Human-Centric AI Culture and AI-Empowered Agility

Download Our Executive Guides

Unlocking Real Returns

5 AI Value Patterns



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